
Baby Bunting Group Ltd

ASX: BBN Company research As at 21/03/2025

RECOMMENDATION

Hold

LEVERED DCF, PERPETUITY GROWTH

A\$2.64

+53% to market

LEVERED DCF, EXIT P/E OF 15

A\$2.07

+20% to market

Executive Summary

Baby Bunting Group Ltd is Australia's largest specialty retailer of maternity and baby goods. The company is in a sound financial and strategic position, but its growth potential is constrained by long-term structural, macroeconomic and demographic factors.

The two valuation models disagree. The levered DCF indicates an implied share price of A\$2.64 with perpetuity growth and A\$2.07 with an exit P/E multiple of 15, premiums of 53% and 20% respectively to the share price at 21/03/2025. Rappaport and Mauboussin's price-implied expectations framework does not. On a defensible forecast period it explains about 46% of the price, and the rest only arrives if the company keeps creating value for 25 years or more.

The two models do not share a growth assumption. The DCF starts at 6% and eases to 2.5%; the expectations model sits at 3% throughout. Some of the disagreement is therefore in the inputs, not in the market.

The long-term outlook is harder. The business shows the characteristics of maturity and its capital efficiency is poor. Reversing that trajectory would take a significant structural or strategic change.

The recommendation is **Hold**, pending the FY25 result. The earnings recovery is real and within the company's control: gross margin up 260 basis points on simplified pricing and renegotiated supplier terms, comparable store sales of 2.2% for the half with 4.5% in the second quarter, which puts the first quarter close to flat, first-half net profit up 44.4%, and FY25 guidance of A\$9.5m to A\$12.5m against A\$1.7m delivered in FY24.

What holds the rating back is the price of that recovery and the record behind it. Return on invested capital fell from 13.4% in FY17 to 2.5% in FY24, which on any conventional weighted average cost of capital is a negative spread, and growth at a negative spread destroys value: the plan for 40 further stores is a risk to watch rather than a catalyst to pay for. The levered DCF supports a higher value, but rests on an exit multiple above every peer benchmark in this report, and the price-implied expectations framework does not support it at all. One model at a demanding assumption is not a margin of safety. The conditions that would change the rating are specific and near-term, and are set out at the end of this report.

Financial Summary

A\$m unless stated	FY20	FY21	FY22	FY23	FY24
Revenue	405	468	507	524	498
Net profit after tax	10.0	17.0	19.5	9.9	1.7
Gross margin	36.2%	37.1%	38.6%	37.4%	36.8%
Operating margin	5.1%	6.0%	7.0%	4.6%	2.3%
Return on invested capital	7.0%	10.1%	9.7%	5.6%	2.5%
Net margin	2.5%	3.6%	3.8%	1.9%	0.3%

Fiscal years to June. FY25 guidance is net profit after tax of A\$9.5m to A\$12.5m on comparable store sales growth of 0% to 3% and a gross margin of 40%.

Scorecard

Five qualities, each scored out of five. Supporting points in green, detracting points in red.

Competitive Advantage

3.0 / 5 ■■■□□

- Strong brand recognition enables some pricing power.
- Some economies of scale compared with smaller niche players.
- Highly competitive industry.

Recurring Earnings

3.0 / 5 ■■■□□

- Product categories include consumables, which are likely to generate repeat purchases.
- As a specialty retailer, earnings are inherently less predictable than in other industries.
- Low average customer lifespan.

Capable Management

3.5 / 5 ■■■■□

- Long tenures across both the board and the executive team, averaging 5.6 years on the board and 8.4 across the disclosed executive roles.
- Mark Teperson (CEO) has extensive specialty retail experience.
- The decade to FY24 is the record: revenue up 177%, net profit down 72%, return on invested capital from 13.4% to 2.5%.
- Insider ownership could be higher. Darin Hoekman (CFO) and Stephen Roche (Chair) have less extensive specialty retail experience.

Ability to Grow Earnings and Dividends Long-Term

2.0 / 5 ■■□□□

- Expanding store footprint and private label sales.
- Demographic headwinds.
- Recent decline in operating income, dividend per share and free cash flow.

Resiliency

3.5 / 5 ■■■■□

- Strong core business and a clear plan to stabilise and grow.
- Cyclical industry.
- Limited geographical diversification.

Business Overview

Established in Melbourne in 1979, Baby Bunting Group Ltd is Australia's largest specialty retailer of maternity and baby goods, primarily serving parents with children from newborn to three years old.

Operations and Presence

- Baby Bunting operates 75 stores across Australia and four in New Zealand, three in Auckland and one in Christchurch. The Australian network is focused on major urban centres on the east coast.
- The company also operates two online stores, babybunting.com.au and babybunting.co.nz.
- Sales from the physical store network were 78% of total sales in 1H FY25. Online delivery was about 15% and click and collect around 7%.
- Principal product categories are prams, cots and nursery furniture, car safety devices, toys, babywear, feeding, nappies, bedding and consumables. It also offers complementary services such as car seat installation, and hire services for certain nursery products.
- The company has a 22,000sqm distribution centre in Melbourne.

Revenue Streams

- The company operates an online marketplace with over 13,000 products and more than 100 third-party sellers. It serves as a capital-efficient incubation channel for new brands and categories.
- Online sales, including click and collect, were 22.4% of total sales in 1H FY25.
- Baby Bunting is growing private label sales, aiming to double them from 10% to around 20% of sales. That is private label alone; the 46% quoted under Strategic Initiatives is private label together with exclusive brands.
- The company is exploring new revenue from services such as pram cleaning and personalised consultations with parents.

Customer and Supplier Base

- The company has 800,000 active loyalty customers.
- Baby Bunting works with numerous suppliers across its range, and has been renegotiating trading terms with key suppliers to improve gross profit margins.
- It has exclusive brand relationships with Edwards & Co, Nuna Baby Australia and Bugaboo New Zealand.

Competitive Positioning

- Largest specialty retailer of maternity and baby goods in Australia.
- Holds around 10% share of Australia's A\$5.2 billion baby products market, and is the clear leader in hard goods with around 23% share.
- The company aims to grow share in soft goods, where it currently holds around 3% of a A\$3.4 billion addressable market.
- Management aims to restore EBITDA margins above 10%.

Strategic Initiatives

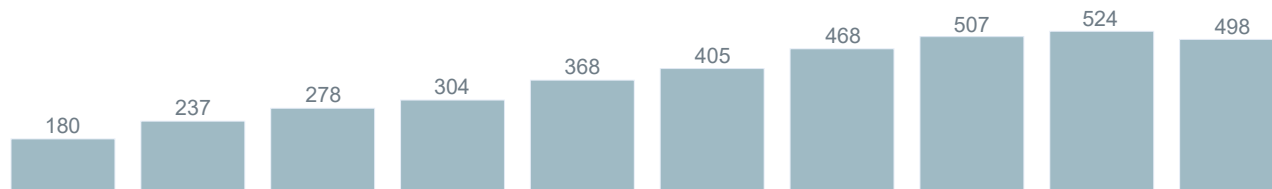
- Restoring EBITDA margin above 10%, from 1H FY25 levels.
- Store network expansion, targeting 40 new stores in identified catchments. Two opened in 1H FY25, at Maroochydore, QLD and Belmont, WA, and one was relocated from Mile End, SA to Marleston, SA. One store closed in January 2025 at Taylors Lakes, VIC.
- Store refurbishment, with a new format design complete. The first, at Maribyrnong in Melbourne, began in January 2025.
- Range innovation and new customer acquisition.
- Private label and exclusive brands together were steady at around 46% of total sales in 1H FY25, of which private label alone is about 10%.
- Development of a retail media business, launched ahead of Boxing Day, expected to deliver A\$2m to A\$3m of gross margin improvement in FY26.
- Omni-channel enhancements, including same-day and next-day delivery with Uber, now around 7% of online delivery orders.

- Expected A\$1m in annualised savings from changes to the New Zealand supply chain from Q4 FY25. A new-format store in Auckland is expected to open in Q4 FY25.
- Simplification of price architecture and renegotiation of supplier trading terms to improve gross margins.
- Disciplined balance sheet management and self-funded growth through operating cash flows.

Historical Performance

- Sales exceeded A\$500 million for the first time in FY22, at A\$507.3 million, reported in August 2022. Margins were squeezed from there.
- First-half FY23 profit fell 67%, on inflationary pressures and a shift in consumer spending towards essential items. The full year closed 49% down.
- FY24 saw a decline in financial performance, with statutory NPAT down 82.8% to A\$1.7 million and total sales down 3.4% to A\$498.4 million. Comparable store sales declined 6.3%.
- Statutory NPAT was A\$3.9 million in 1H FY25, up 44.4% on A\$2.7 million in 1H FY24.
- Total sales reached A\$254.4 million, up 2.4% on 1H FY24, driven by comparable store sales growth of 2.2% for the half. The second quarter grew 4.5%, which puts the first quarter close to flat.
- Gross margin improved to 39.8%, up 260 basis points from 37.2% in 1H FY24, driven by simplification of pricing architecture, renegotiation of supplier trading terms and supply chain initiatives.
- Net debt improved to A\$9.1 million from A\$13.0 million at June 2024.
- No interim dividend was declared, to preserve capital for growth initiatives and expansion.
- Cost of doing business increased to A\$87.2 million, driven by new store roll-out, investment in data and analytics, increased marketing, and wage inflation.

Revenue, A\$m



Net profit after tax, A\$m

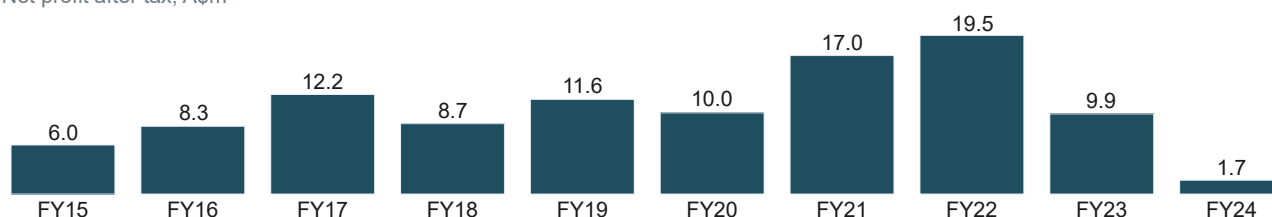


Figure 1. Revenue and Net Profit by Fiscal Year

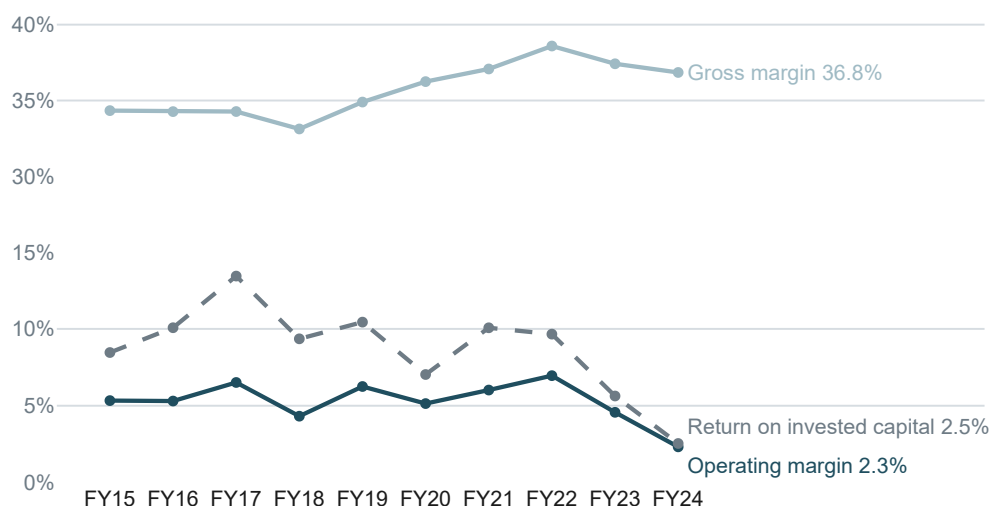


Figure 2. Gross Margin, Operating Margin and Return on Invested Capital

Outlook

- Large and growing ANZ addressable market of A\$6.3 billion.
- 1H FY25 pro forma NPAT was up 37% to A\$4.8 million on total sales up 2.4% to A\$254.4 million.
- Comparable store sales growth was 2.2% in 1H FY25, of which the second quarter was 4.5%. That improved from 0.6% for the year to 13/10/2024.
- The company is on track for its FY25 gross margin target of 40%.
- New customer acquisition was up 12% in 1H FY25.
- The first seven weeks of 2H FY25 showed continued momentum, with comparable store sales growth of 2.8% and gross margin of 39.4%, up 570 basis points on the prior corresponding period.
- The first refurbished store is expected to open in April 2025, against a target of 8 to 12 stores refurbished in total.
- Baby Bunting is targeting 120 stores over the longer term.
- Management has reaffirmed FY25 net profit guidance, on the assumptions set out beneath the Financial Summary.

Leadership

The CEO and Managing Director is Mark Teperson. The Chief Financial Officer is Darin Hoekman. The Chair of the Board is Stephen Roche.

Mark Teperson, CEO and Managing Director

- Joined the company on 02/10/2023.
- Over 20 years of experience across retail and fintech.
- Global Chief Product and Chief Strategy Officer at Afterpay.
- Before Afterpay, Chief Digital Officer at Accent Group, Australia's largest footwear retailer, where he built the digital business from inception. He also held the role of Director, Multichannel at Accent Group.
- His retail career began at The Athlete's Foot, and he became General Manager of Shoes & Sox early in his career. He co-founded the omni-channel retailer Shoe Superstore, later acquired by Accent Group.
- Holds a Master of Management and an MBA from Macquarie Graduate School of Management.

Darin Hoekman, Chief Financial Officer

- Commenced with the company in January 2014. He leads finance, IT, risk and investor relations, and is a company secretary.
- Over 20 years of experience leading businesses across Australia.
- Manager at Ernst & Young for six years, focused on audit in the manufacturing and retail division and on Sarbanes-Oxley compliance.
- Finance Manager at Chemnet Australia, and a senior executive team member at Godfreys with full accountability for the finance function. He also held the role of Group FC at ICSH Pty Ltd Group.
- At Baby Bunting he led the company through its IPO and ASX listing, and served as interim CEO after the previous CEO stepped down. The store network roughly doubled in his first three years; set against the return on invested capital over the same period, that is context rather than a credit.
- Holds a Bachelor of Commerce and is a Chartered Accountant.

Stephen Roche, Chair

- Chair and Non-executive Director of Baby Bunting Ltd.
- Also a Non-executive Director of GWA Group Ltd and a Director of the Adelaide Football Club.
- Previously a Non-executive Director of Blackmores Limited and Myer Family Investments Ltd. He chaired the People & Culture and Risk & Technology committees at Blackmores.
- Over 25 years of executive leadership experience across various sectors. He was Managing Director of Bridgestone Australia & New Zealand Limited until December 2021, and Chief Executive Officer and Managing Director of Australian Pharmaceutical Industries Limited for over 10 years until February 2017, where he oversaw the expansion of the Priceline Pharmacy network.
- Holds a Bachelor of Business from the University of South Australia and is a Fellow of the Australian Institute of Company Directors.

Risks and Challenges

- Challenging consumer macroeconomic environment and cost-of-living pressures affecting parents' spending.
- Intense competition in baby products retail, from Coles, Woolworths, Kmart and Target, and from newer entrants such as Amazon.
- Potential impact of a shrinking birth rate on the market.
- Cost of doing business rising faster than sales, as it did in 1H FY25.
- Changes in economic and retail trading conditions, and increases in sea freight rates, either of which would affect the FY25 outlook.
- Net debt is modest at A\$9.1 million, but a 79-store lease book is the larger fixed claim and leaves limited room if trading deteriorates. The lease liability is not quantified here, and it is the single figure most likely to move the capital-efficiency conclusion.

Key Catalysts**Gross Margin Improvement**

- Simplification of pricing architecture, including removal of the Spend & Earn loyalty mechanism and Price Beats on items under A\$50, which contributed around 80 basis points to margin improvement in 1H FY25.
- Renegotiated supplier trading terms, most of which landed in 1H FY25 and annualise into FY26.
- Private label carries a higher margin than the branded range, so doubling it to 20% of sales lifts the blended gross margin without a price rise.
- Supply chain changes, including the New Zealand savings above.

Expansion of the Online Marketplace

- Delivered A\$2.5 million in gross merchandise value from third-party orders in 1H FY25, up 184% on the prior period, acting as a capital-efficient incubation channel for new brands.

Store Network Growth and Refurbishment

- Two further refurbishments are planned for completion by the end of Q4 FY25, which is the first read on whether the new format lifts sales per store.

Supporting Evidence

The items below are not of equal weight. The population projections are official statistics; the traffic, search and employee-review measures are third-party samples and proxies, and are read as directional only.

- As shown in Figures 9 and 10, organic traffic and search interest have declined since 2020. That is a negative signal given Baby Bunting is attempting to expand its online marketplace.
- As shown in Figure 11, the 71 employee reviews average 3.3 out of 5, which carries little on its own. The senior management sub-score of 2.8 is the lowest of the six categories and is the part worth reading.
- As shown in Figures 12 and 13, under baseline assumptions the number of 0 to 4 year-olds in Australia will increase approximately 30% over the next 35 years. That is roughly in line with overall population growth of around 36%, according to the Australian Bureau of Statistics.
- Under low birth rate assumptions, however, the number of 0 to 4 year-olds could decline marginally over the next 35 years, reducing Baby Bunting's addressable market.

Bull Case

- Baby Bunting's position as Australia's leading specialty baby goods retailer, with a loyal customer base, provides pricing leverage and differentiates it from both large-format and online-only competitors.
- Online and click-and-collect are already 22.4% of sales, which is a position the large-format retailers have not matched in this category.
- Further store rollouts offer a runway for sales growth by tapping underserved markets.

Bear Case

- Slowing birth rates and a highly competitive retail landscape threaten revenue growth.
- The emphasis on physical store expansion could become a liability if consumer sentiment weakens, leading to underperforming leases and higher operational costs.
- Freight rates and the currency both feed directly into cost of goods, and the customer is price-sensitive enough that recovering it is not assured.

Recommendation

The case rests on the recovery in earnings, and the constraint on it is the record of capital allocation. Over the decade to FY24 revenue rose 177%, from A\$180m to A\$498m, while net profit fell 72%, from A\$6.0m to A\$1.7m. Gross margin held throughout, 34.3% in FY15 against 36.8% in FY24, so the problem is not pricing or competition at the top line: the company added roughly A\$320m of revenue and no earnings with it.

Return on invested capital tells the same story, 13.4% at the FY17 peak against 2.5% in FY24. A business earning less on its capital than the capital costs does not create value by adding more of it, which is what the price-implied expectations framework is built to surface, and why this is a recovery position with a defined test rather than a long-term holding.

One caveat sits under that series. It spans the introduction of AASB 16 at FY20, and whether invested capital is struck on a consistent lease basis either side of it is not established here. For a lessee of 79 stores the adjustment only runs one way: capitalising the leases raises invested capital and lowers the return, so 2.5% in FY24 is a ceiling rather than a floor, and the argument is not weakened by resolving it.

What the Valuation Models Show

- The levered DCF assumes revenue growth of 6% easing to 2.5% over ten years, which produces the two outcomes on the cover: A\$2.64 on perpetuity growth and A\$2.07 on an exit multiple.
- Rappaport and Mauboussin's price-implied expectations framework does not reach the same conclusion. Reverse-engineered from the share price, it asks what a buyer must believe, and the answer is a value-creating period longer than a specialty retailer would normally sustain. That reads the price as carrying optimistic expectations rather than a discount, so the case rests on the DCF alone.

Long-Term Outlook

- The business is mature and not highly capital efficient.
- A major structural or strategic shift would be needed to change the long-term trajectory.
- Macroeconomic challenges include competitive pressure in the sector, demographic shifts, and a lack of international opportunities and positioning.

The recommendation is **Hold**. The first half of FY25 is the first period in three years in which margin, comparable store sales and earnings improved together, and guidance implies a five to sevenfold recovery in net profit from a trough year. That is worth owning at the right price, and the question is whether one year of self-help has repaired a decade in which A\$320m of added revenue produced no earnings. The FY25 result answers it, and the wait is months rather than years.

What Would Make This a Buy

- FY25 net profit at or above the A\$12.5m top of guidance, which would say the margin repair held through the second half rather than front-running it.
- Gross margin reaching the stated FY25 target of 40% and holding the 260 basis points gained in the first half.
- Return on invested capital recovering above the cost of capital, which would turn the store roll-out from a risk into a reason to own the shares.
- The exit multiple in the valuation reset to a level the peer set supports, with the case still clearing on a defensible margin of safety.

What Would Make This a Sell

- FY25 net profit landing below the A\$9.5m guidance floor, which would say the margin repair did not hold.
- Comparable store sales returning to negative, having run 2.2% in 1H FY25 and 2.8% through the first seven weeks of the second half.
- Any equity raising to fund the store programme, which the company has said will be self-funded from operating cash flow.
- Evidence that the 0 to 4 population is tracking the low scenario in Figure 13 rather than the baseline in Figure 12.

Research and Analysis Supporting the Valuation

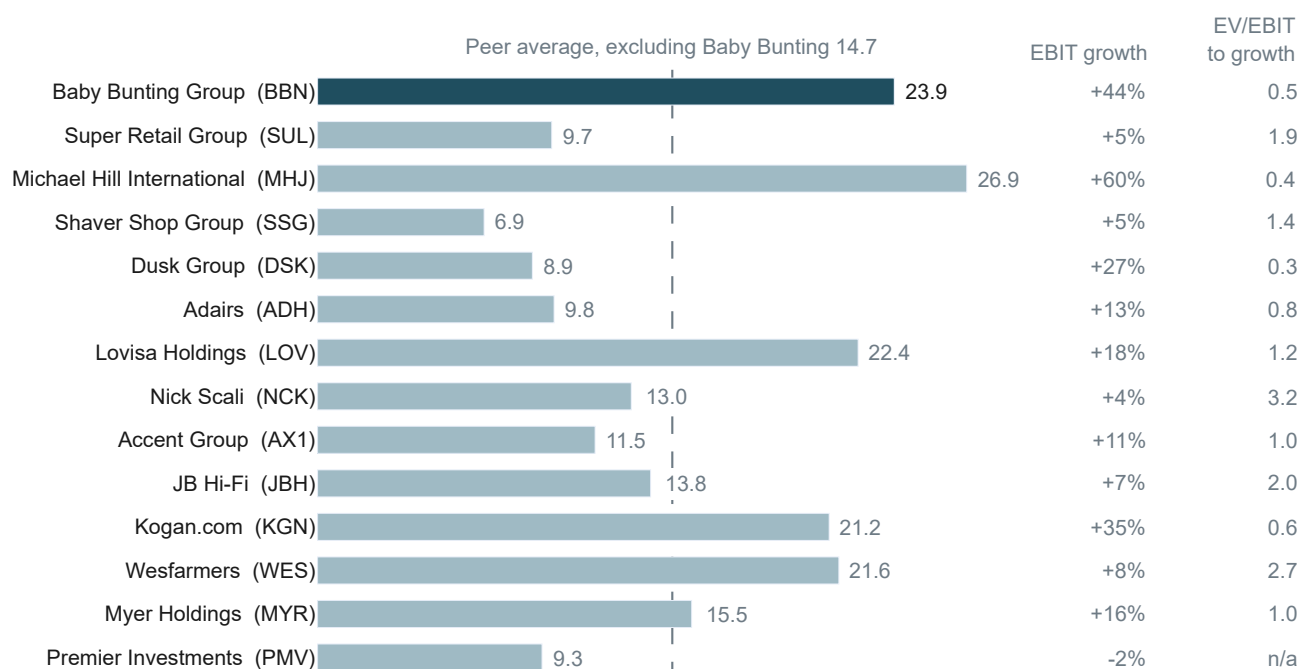


Figure 3. Current EV/EBIT, ASX-Listed Consumer Discretionary (times)

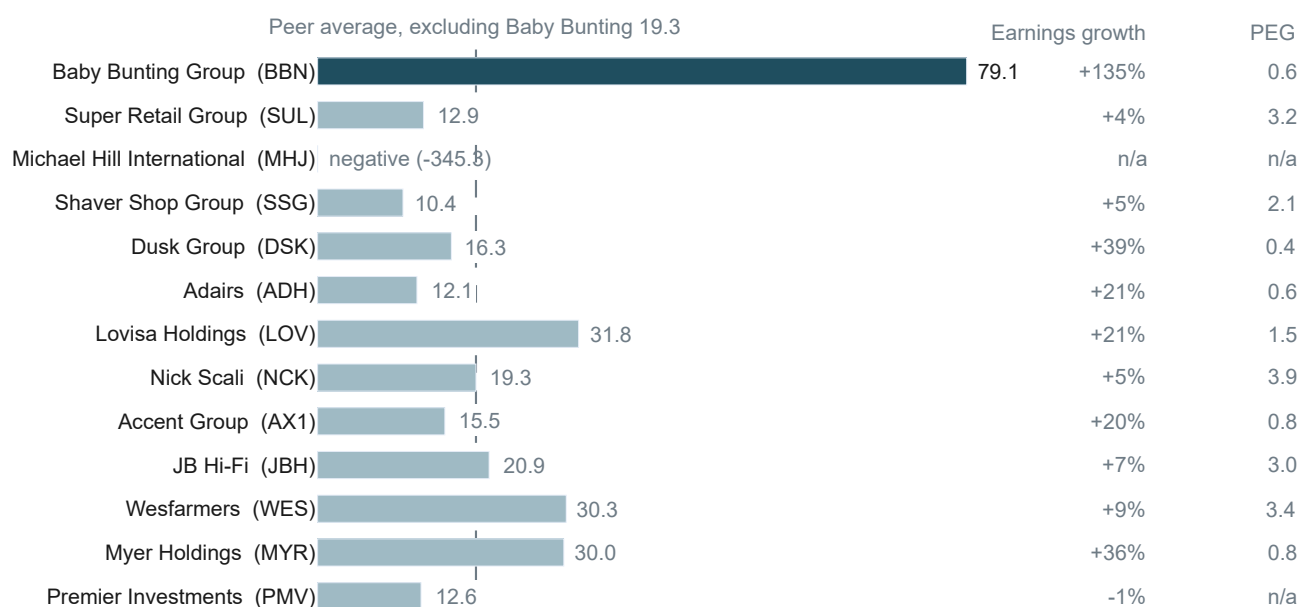


Figure 4. Current P/E, ASX-Listed Consumer Discretionary (times)

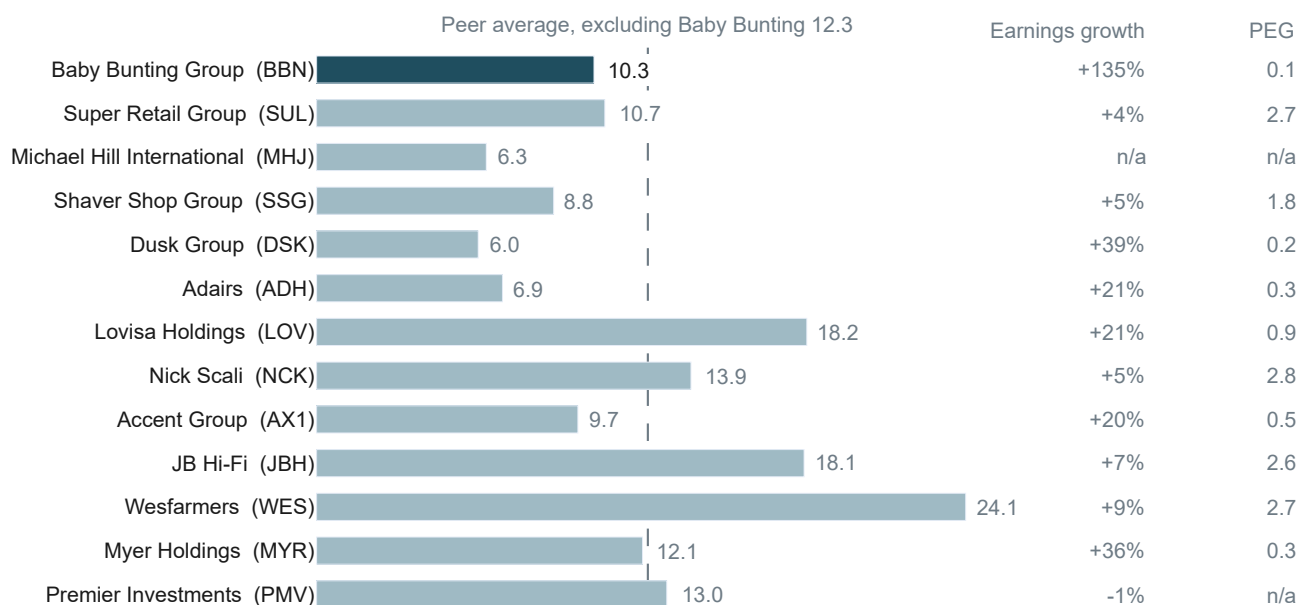


Figure 5. Forward P/E, ASX-Listed Consumer Discretionary (times)

Name	Position	Tenure	Compensation	Ownership	Holding value
Mark Teperson	CEO, MD and Director	1.4 yrs	A\$1,110k	0.120%	A\$264.8k
Darin Hoekman	CFO and Company Secretary	11.2 yrs	A\$755k	0.410%	A\$939.5k
Michael Pane	General Manager, Operations	no data	no data	0.360%	A\$815.0k
Corey Lewis	Group Legal Counsel and Company Secretary	9.1 yrs	no data	no data	no data
Scott Teal	General Manager, Merchandise and Marketing	11.8 yrs	no data	no data	no data

Average tenure 8.4 years, across the four roles that disclose one

Figure 6. Leadership Team, Tenure, Compensation and Ownership

Name	Position	Tenure	Compensation	Ownership	Holding value
Mark Teperson	CEO, MD and Director	1.4 yrs	A\$1,110k	0.120%	A\$264.8k
Gary Levin	Independent Non-Executive Director	10.6 yrs	A\$115k	0.190%	A\$425.0k
Stephen Roche	Independent Non-Executive Chairperson	3.5 yrs	A\$100k	0.058%	A\$132.6k
Gary Kent	Independent Non-Executive Director	6.3 yrs	A\$115k	0.030%	A\$68.0k
Donna Player	Independent Non-Executive Director	8.2 yrs	A\$100k	0.034%	A\$78.2k
Francine Ereira	Independent Non-Executive Director	3.5 yrs	A\$100k	0.027%	A\$62.4k

Average tenure 5.6 years. Average age 62 years

Figure 7. Board Members, Tenure, Compensation and Ownership

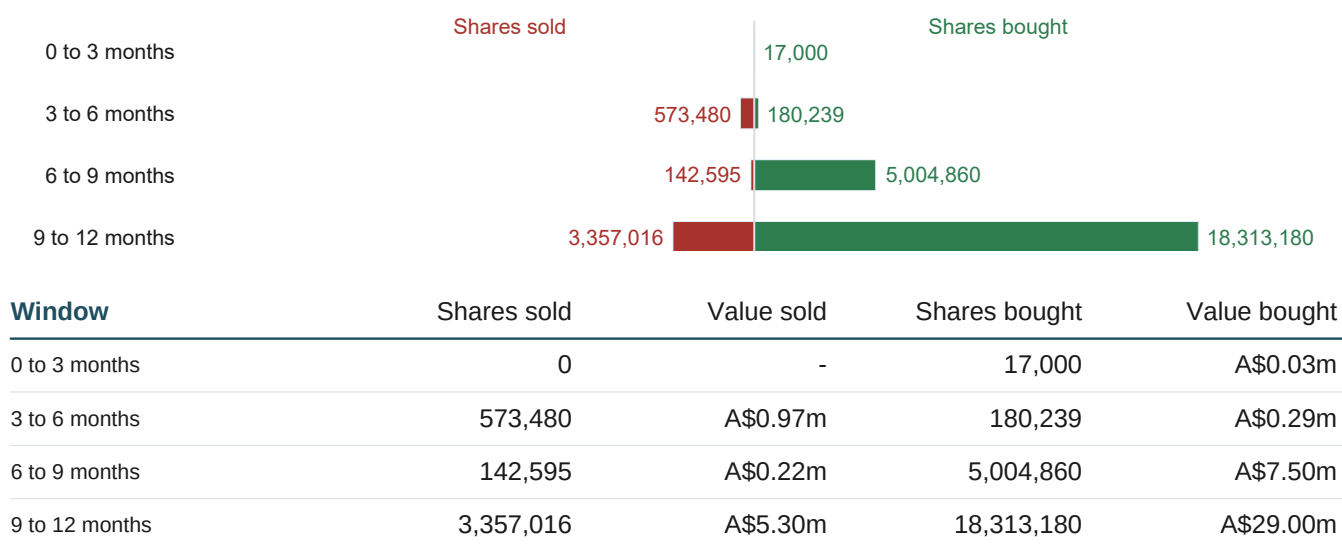


Figure 8. Insider Trading Volume, Trailing 12 Months

The 9 to 12 month window shows 18,313,180 shares bought, which is close to 14% of a register of roughly 133m shares implied by the ownership columns in Figures 6 and 7. A movement of that size is unlikely to be on-market director buying and is more consistent with a substantial-holder transaction. It should be reconciled against the Appendix 3Y filings before any weight is put on it.

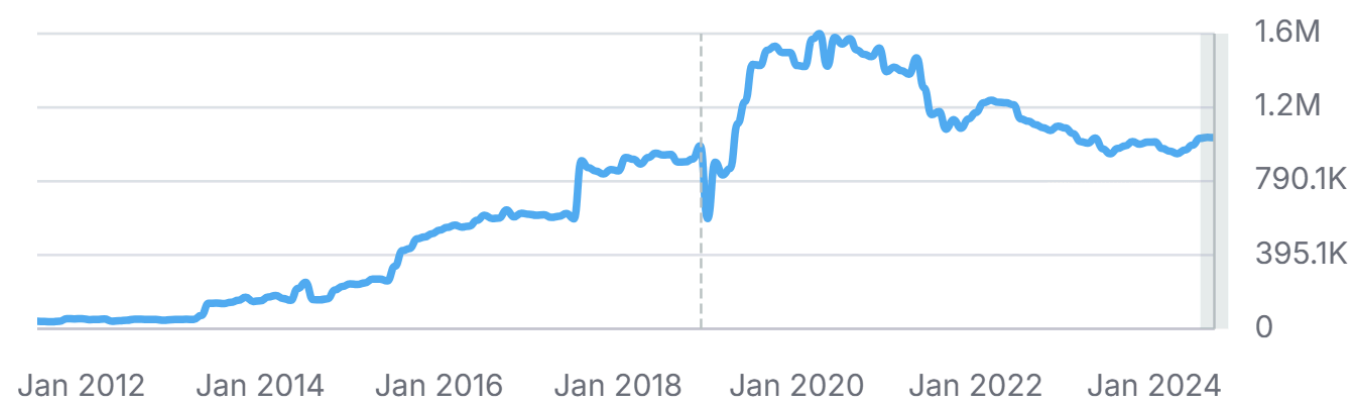


Figure 9. Organic Traffic to babybunting.com.au

Source: Semrush.

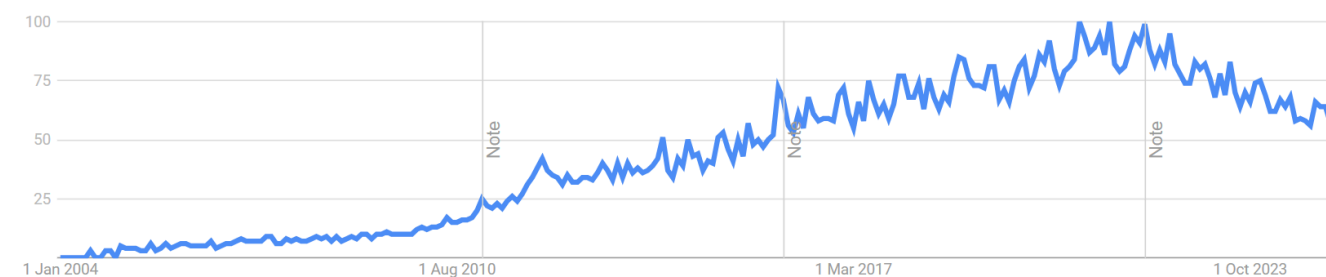
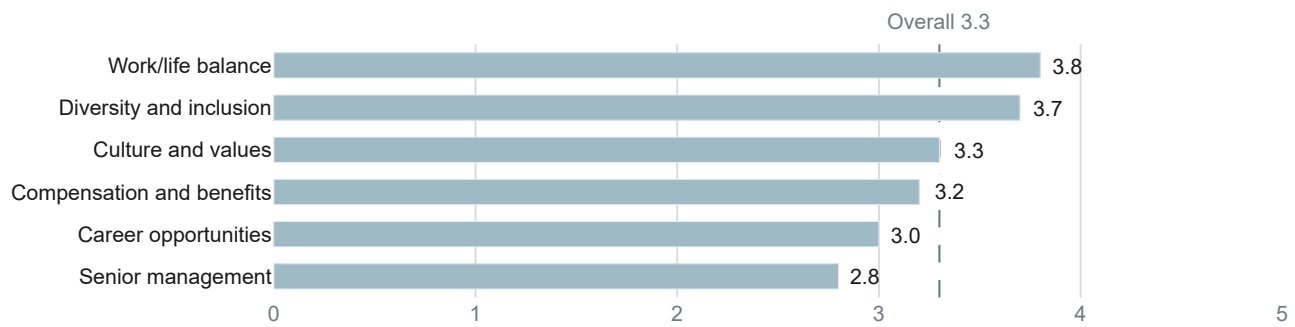


Figure 10. Search Interest over Time, "Baby Bunting"

Source: Google Trends.

Rating by Category



Distribution of the 71 Reviews

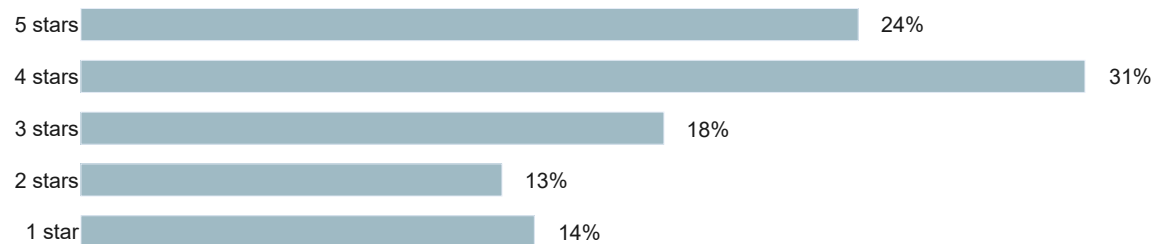


Figure 11. Employee Review Ratings by Category

Baseline scenario

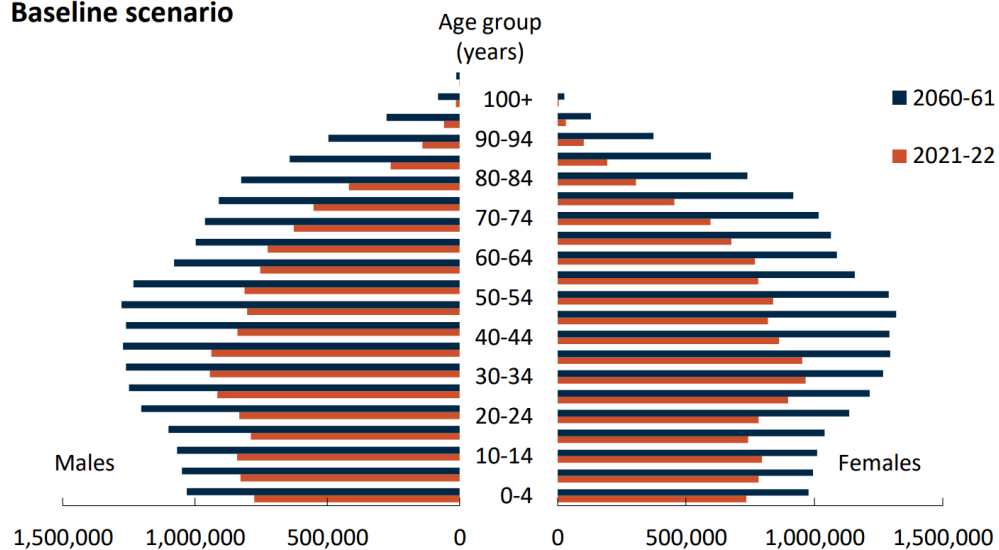


Figure 12. Projected Age Structure of the Australian Population, 2060-61, Baseline Scenario

Source: Centre for Population.

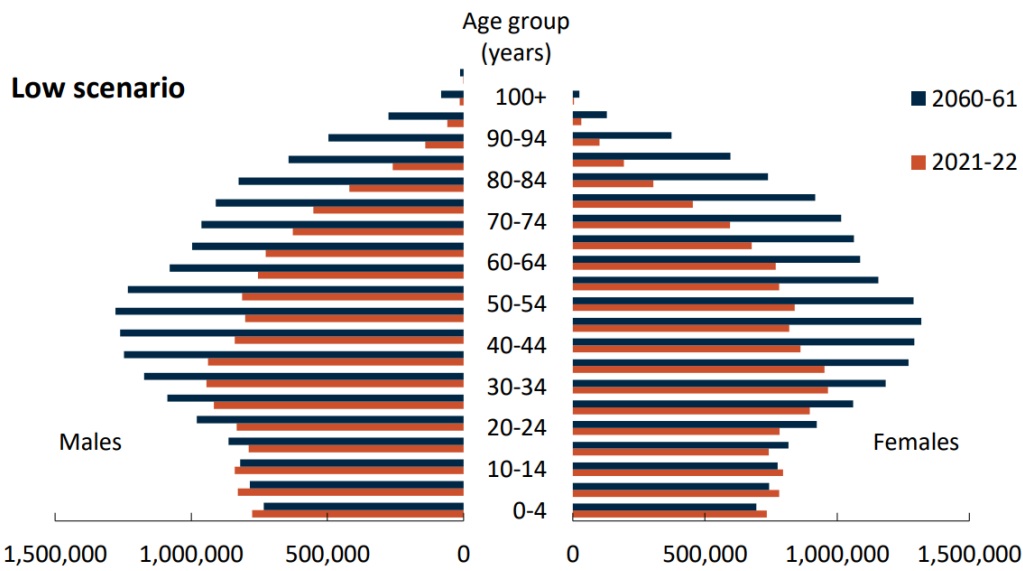


Figure 13. Projected Age Structure of the Australian Population, 2060-61, Low Scenario
Source: Centre for Population.

Valuation Assumptions

Discounted Cash Flow

- Revenue is projected to grow at 6% a year for the next two years, in line with the lower bound of analyst consensus and management guidance, and consistent with macroeconomic expectations for consumer discretionary spending.
- As a mature business, revenue growth is expected to revert gradually to long-term trend levels by 2034, reflecting the upper range of historical consumer discretionary growth adjusted for Baby Bunting's expansion potential through store network growth and its pricing power from brand strength.
- Net margin assumptions are based on analyst estimates for FY24 and FY25, then revert to Baby Bunting's historical average. On the series in Figure 1 that average is 3.0% over ten years, 2.8% excluding the pandemic years of FY21 and FY22, and 1.1% across FY23 and FY24. The reversion assumed here is therefore well above the recent run rate.
- Depreciation and amortisation, capital expenditure and mandatory debt repayments are projected on the five-year historical average.
- The terminal growth rate is set at the midpoint of the RBA's long-term inflation target.
- The exit price-to-earnings multiple of 15 is a weighted average of Baby Bunting's historical P/E and the current P/E ratios of mature peers, including Super Retail Group, Adairs and Accent Group, shown in Figure 4.
- That multiple sits above every peer benchmark in this report. The three mature peers average 13.5 times trailing (Figure 4) and 9.1 times forward (Figure 5), against a peer-set forward average of 12.3 times. A terminal-year multiple is a forward multiple by construction, so the exit-multiple case is the more demanding of the two and is the input to test first.
- The forward set carries its own caveat. Figure 5 puts Baby Bunting on 10.3 times forward earnings, which on a market capitalisation of about A\$229m implies roughly A\$22m of net profit against guidance of A\$9.5m to A\$12.5m. On guidance the shares are nearer 18 to 24 times. The forward multiples are therefore a cross-check, not a basis for a terminal assumption.
- The peer averages in Figures 3 to 5 exclude Baby Bunting itself. The source averaged the subject company into the group it was being measured against, which on the current P/E lifted the benchmark from 19.3 times to 24.3 on its own 79.1.
- Whether the peer EV/EBIT set in Figure 3 is struck before or after AASB 16 is not stated by the source. Across a group of lessees that moves both the numerator and the denominator, so the comparison is directional.
- The model is levered and discounted at a cost of equity. That rate, and the risk-free rate, equity risk premium and beta behind it, are not disclosed here, nor is a sensitivity grid across it and the exit multiple.

Price-Implied Expectations

- The framework is Alfred Rappaport and Michael Mauboussin's, set out in Expectations Investing.
- Sales growth is held at 3% a year. The model exists to isolate what the market is implying rather than to forecast, so the rate is deliberately flat.
- That is not the assumption the discounted cash flow runs on, which is 6% easing to 2.5% over ten years. Part of the disagreement between the two models is therefore an input choice, and the gap would narrow if the expectations model were run on the same growth path.
- The forecast period is solved for rather than assumed, which is what makes the framework a constraint on the case rather than an input to it.
- Operating margin, the incremental investment rate and the cost of capital are the model's remaining inputs and are not disclosed here. That is thinner than the six assumptions disclosed for the discounted cash flow, and this is the model overturning a premium of 20% to 53%.